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THE WHITE HOUSE

WASHINGTON

MEMORANDUM OF CONVERSATION

SUBJECT: Meeting with Prime Minister Bildt of Sweden

PARTICIPANTS: The President
James. A. Baker III, Secretary of State
Samuel K. Skinner, Chief of Staff
Brent Scowcroft, Assistant to the President
for National Security Affairs
Charles E. Redman, Ambassador to Sweden
Thomas M.T. Niles, Assistant Secretary of
State for European and Canadian Affairs
Jane Holl, Director, European and Eurasian
Affairs, NSC Staff, Notetaker

Carl Bildt, Prime Minister
Anders Thunborg, Ambassador to the United
States
Lars-Ake Nilsson, Under Secretary, Ministry
of Foreign Affairs
Krister Wahlback, Security Adviser to the
Prime Minister
Jonas Hafstrom, Political Adviser to the
Prime Minister
Lars Christiansson, Prime Minister's Press
Spokesman
Professor Anders Aslund, Stockholm Institute
of Soviet and East European Economics
(Adviser on CIS/Eastern European economies)
Captain Emil Svensson, Military Adviser to
the Prime Minister

DATE, TIME February 20, 1992, 11:20 a.m. - 12:00 p.m.
AND PLACE: Cabinet Room

The President: Welcome. I want us to have a good give and take discussion. I am interested in what have learned and how you see the world, your neighbors, what you see happening around the world and the Commonwealth of Independent States. We have had a chance to discuss some of these things and I want to throw the floor open. We have watched what you've done and are proud of the changes we have seen. So please begin. (Ø)

Prime Minister Bildt: Thank you Mr. President (comments about the weather and the US-Swedish Olympic hockey game). Perhaps we will also be able to discuss the domestic political scene in both of our countries. But let me say that our relationship has always been a close one. We have had our differences but we

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share fundamental values of human rights, democracy, rule of law, in order to build a secure and stable world order. (Ø)

I come with two messages. First, I would like to make our good relationship better. The changes in the world today call for a close dialogue. Second, all of the issues we will confront are important but we have not yet secured the new peace, and to do so requires active U.S. involvement and there are questions about U.S. involvement. But there are no solutions to the many questions we face without U.S. participation. (Ø)

We are concerned with what is happening in our own area -- this is a novelty for Sweden -- with the former Soviet Union and the Baltics. We have made some changes due to the changes in our own region. Previously Europe was in two blocs and there was a danger of all-out war. Our policy was to remain neutral in this strategic environment. The only thing we can be certain of today is that war won't happen. Our policy has been to stay free of entanglements and alliances and this has served us well. We believe in the European security structures to help build security. We are actively seeking involvement in European affairs in two ways: one, a CSCE process that travels with the changes and two, we want to bring all the states of the former Soviet Union in. (Ø)

The President: What's the total now of CSCE? (Ø)

Secretary Baker: 50. They're all in. (U)

Prime Minister Bildt: It will be a problem now that they are all in -- Central Asian and the Caucus in a European security framework -- this increases the agenda. We will take an active leadership role in CSCE in December. That's the first thing. The second thing is our entry into European Union. We hope to open formal negotiations to show that we will enter by 1995 with Austria, Finland, and most likely Norway. However, going back we must first heal the division in Western Europe that was there and second the division in Europe as a whole. As you look at the Nineties, a lot is happening in Northern Europe in contrast to previous decades with the Nordics going into the European Community. It brings us to the core and engine of European unity. Then comes the Baltics. You know Russia and West Europe only meet in the Baltics. Otherwise Russia is cut off by Belarus and The Ukraine. This will have an impact on the situation in Northern Europe with the political changes in Sweden, and those that are taking place in all of the Nordic countries. (Ø)

The President: Do you see these changes resulting in government changes too? (U)

Prime Minister Bildt: Certain of the changes were already done by the Social Democrats. For example our EC application. But that shows that forces for change are so strong no one can resist in the long run. This is what I think will happen in the long run. We are primarily engaged in helping in the Baltics. We have a special relationship but we want to bring you in. The

Baltics can't be forgotten. We all tend to concentrate on Russia but the other participants are important. The Baltic states can transition to stable economies and stable democracies. I have had a discussion with Secretary Baker on the Baltics' human rights and bringing them into the INF. (Ø)

The President: Tell me, is there blatant anti-Semitism in the Baltics or elsewhere in the CIS? We are getting these reports. Do you sense this? (Ø)

Prime Minister Bildt: No, I have a Jewish friend in Vilnius and he is not concerned. Rather, they are reviewing all punishment of the Stalin era when many innocent people were sent to Siberia and the prison camps. There have been active discussions. (Ø)

The President: But no blatant anti-Semitism. (Ø)

Prime Minister Bildt: I am probably worried more about the Ukraine. Ukraine is historically anti-semitic. (Ø)

Professor Aslund: Lithuania stands out as tolerant. The Ukraine is anti-semitic, but you can hear Yiddish in the streets of Vilnius. Yes, Vilnius and Lvov were centers of Jewish culture, but after the war you can't find any Jews left. (Ø)

Secretary Baker: We talked earlier in our conversation of our concerns with respect to equal rights, citizenship laws and so on. There is some legislation in Estonia and Latvia. They have begun some legislation in Estonia. (U)

The President: Can I ask you about your point on U.S. involvement? As our economy has been slow there has been an increase in isolation and "American first" sentiment, but is there any sentiment in Europe that, well the U.S. has done its part and Western Europe will be better off without the U.S. Is there any undercurrent particularly in the major countries? (Ø)

Prime Minister Bildt: Not really. People understand that things have to change. The problem is not primarily military anymore but political and social. In Germany, for my generation, in the CDU and SPD there is nothing of that sort. It is natural for them that Germany act as part of Europe and that this Europe must act together with America. (Ø)

The President: Including the SPD? (U)

Ambassador Thunborg: I would say yes. (U)

Prime Minister Bildt: The foreign press doesn't get it right with respect to Germany. (Ø)

The President: Well we are aware of the French. We have had our difficulties with them in NATO, but it is a long standing thing and I don't think they are saying the U.S. should go home. I worry the SPD will find fertile field that the U.S. should go. (Ø)

Prime Minister Bildt: I don't think this is a worry. Look at the record of the SPD as they begin to examine what they have done in the past. It is not going to be a very nice record. But that's a different thing. The generation of politicians I know see Europe and the US acting together -- not always sharing the same policies -- but acting together and we must cooperate especially with respect to Russia. There will be no stability in Europe if there is no stability in Russia. We're trying to develop political ties, all sorts of assistance. (Ø)

The President: It would be unfortunate if there were such a feeling given the temporary and ugly mood of our country. Our economy will change and the mood will change for the better. But if there is a European mood of "Yankee go home," Congress would be more than happy to go along. (Ø)

Prime Minister Bildt: It's a funny thing. The problem in Germany is a reversal. For years the SPD has been complaining about the troop presence, now they complain about troops leaving. (Ø)

The President: That's reassuring. We want and we will stay involved with that. There is no idea in my Administration that we should pull into an isolationist fortress, which leads me to ask for your views on GATT. (Ø)

Prime Minister Bildt: We have a mutual concern here and we have no disagreement. Sweden lives on free trade; small nations do. We are doing all we can do to contribute to a solution. (Ø)

The President: When you talk to Kohl -- you know he can be more helpful -- but is this tough for him? We've got to get this deal. If we don't, I could see blocs developing like trade blocs. This would be bad. (Ø)

Prime Minister Bildt: This is a sensitive issue not only for the Germans but for the Norwegians and Finns as well. Cutting back agricultural subsidies would create problems. In Germany they have a regular election the first week in April and agriculture will be important. The message from Chancellor Kohl is that there must be a compromise. (Ø)

The President: Dunkel got all immersed in this issue. It's complicated but it must be done. (Ø)

Prime Minister Bildt: The Dunkel package is from our view acceptable but we don't have major agricultural subsidies as the Finns and Norwegians. They have a big problem domestically. They have used agricultural subsidies to induce people to live in the Kola peninsula and northern Norway. If they hadn't done this they wouldn't have problems. There must be compromise. (Ø)

Secretary Baker: This is a political problem. We can't leave it to the experts. We all have elections. We think the Dunkel text is acceptable, one we can't walk away from. (Ø)

The President: That's right. Our agricultural people see problems but the big problem is in France. They have a lot of political problems but we'll keep working with Mitterrand. We know we subsidize -- export enhancements aimed mainly at excessive EC subsidies -- we know we're not pure but we are prepared to get rid of our impurities because it is very, very important. We'll keep trying. (Ø)

Prime Minister Bildt: There is a minor bilateral problem but I won't bring it up now, a minor GATT dispute. But what I'd like to bring up is nuclear safety in the Soviet area. There are now 58 nuclear power plants designed and built by the Soviets. Over 40 are quite old, not adequate in safety and security. In fact simply stated they are unsafe. We can't close them down immediately. People must have heat and electricity. But we must do as we are doing in our part of the world we must look at what must be done and tackle the immediate problems and then look at redesigning and replacing these plants. This is a large problem and we need a lot of money. I think this calls for a wider international effort and participation including the United States. We can take some of these Soviet scientists and bring them into your science center that you have proposed and we can have them participate in redesigning and rebuilding. We also have to concern ourselves with leftover uranium and other materials from the nuclear weapons. This can be used in reactors. These are right across our borders. With the Chernobyl disaster we were one of the hardest hit. There was a big cloud and it rained on our reindeer. That cannot happen again. It would cause pressure to close everything down and this would hinder the economic development in Russia. (Ø)

Secretary Baker: This fits into our science center in terms of redesign and re-use. This all fits. We can put a lot of CSIS scientist to work. The problem is we're talking about huge amounts of money. We have been focused on nuclear weapons problems; the science center has been an offshoot of that, but where we would find funding for redesigning new reactors, I don't know. (Ø)

Prime Minister Bildt: More money should come from the IAEA. They have a role to play. They have a lot of money for inspecting plants in Europe as part of the NPT. But it could be put to better use. The European community also has money -- the G-24 could be a circle for discussion, and EURATOM has a lot of money for inspection. But this problem has been neglected. (Ø)

General Scowcroft: If you highlight this problem without solving it, you create pressure to do something. (Ø)

Secretary Baker: But this is a problem throughout the CIS. The lights are out in Armenia because of the Nagorno-Karabakh problem. (Ø)

The President: But if one of those things blow it would be a worldwide problem. Tell me have you had much contact with Yeltsin? (Ø)

Prime Minister Bildt: No, but we have had a visit from Burbulis. He's rather philosophical. (Ø)

The President: I'll give you a little tidbit -- Gorbachev hates him. (Ø)

Prime Minister Bildt: I'm not surprised. They are very different men. (Ø)

Secretary Baker: Who else beside Burbulis do you deal with? (Ø)

Prime Minister Bildt: We are encouraging all our parties to make a wide range of contacts. Mr. Aslund has a lot of economic contacts. (Ø)

Secretary Baker: Do you have a feel for the Rutskoy phenomena that Russian nationalism will take over? (Ø)

Professor Aslund: That could be a problem. The polls say Rutskoy is a very, very popular man. My sense is that he is dangerous in the longer run but not in the short run because the military has no idea of what to do with the economy. He has good political people but no good economists. Its better to focus on Rutskoy as the future he's very sophisticated. (Ø)

The President: Can Yeltsin do anything about this guy? (Ø)

Prime Minister Bildt: He seems to have gotten him back into the fold but Shaposhnikov also gets votes. (Ø)

The President: These are amazing changes. Tell me how do you read conditions in the Baltics? Will they make it through the winter? (Ø)

Prime Minister Bildt: Yes. We're helping them with oil. They are in dire conditions. Food is desperately short but they're surviving. Lithuania is slightly better. There is not the same need for emergency assistance, but the crucial thing there is currency reform within the INF system. This year whatever we can do to the system with that we will do. There is a large network of things we have already done: twin cities, many contacts, the Washington Post told me this morning that a Swedish Pentecostal group will build 1000 prefab churches. There is a lot going on. (Ø)

The President: Why don't we continue this conversation over lunch? (U)

- End of Conversation -